Growth opportunities in the tourism industry in South-East Asia



Name - SUMIT KUMAR SINGH
Email – sumitkumarsingh2205@gmail.com

(ASEAN) Southeast Asia Tourism: Market Overview & Growth Outlook

Executive Summary — size, growth, key drivers and our core thesis

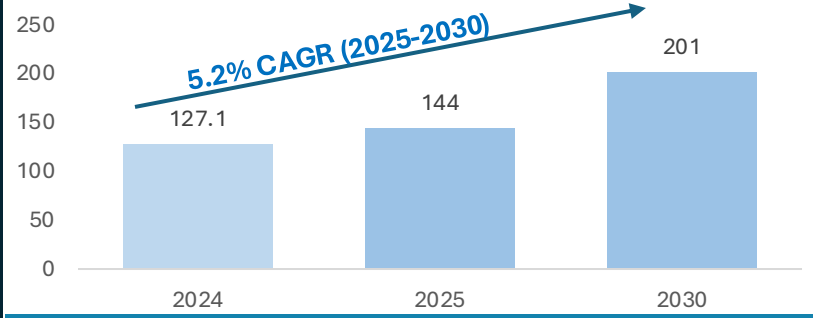
127.1M
International tourist arrivals in ASEAN (2024)

144M
Estimated arrivals in 2025 (~96% of 2019)

201M
Forecast arrivals by 2030 (+51% v/s 2025)

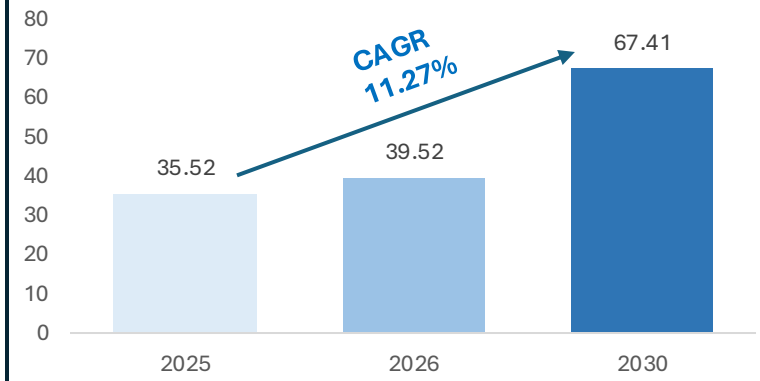
US$67.41B
Southeast Asia tourism market by 2031 (11.27% CAGR, 2026-2031)

Southeast Asia International Tourist Arrivals (2022–2030)



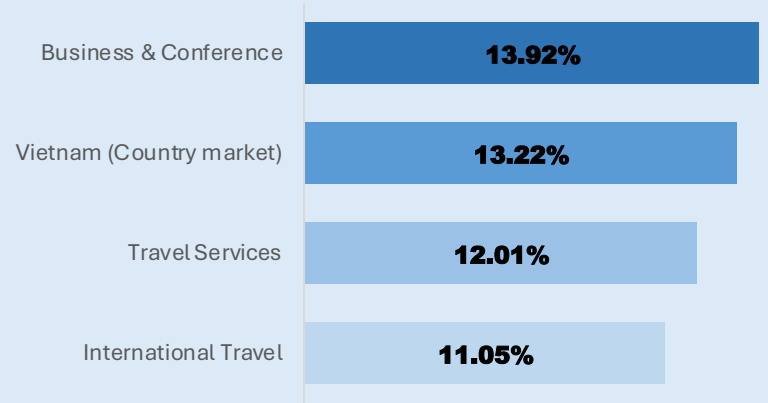
2024: 121.3M (industry data); 2025: 131M (ASEAN Outlook, ~96% of 2019);
2030: 201M (ASEAN Tourism Outlook 2025).

Southeast Asia Tourism Market | US$ Billion



Source : Mordor Intelligence

Where is Growth Accelerating? Key CAGR (2026-27)



Key Points

- **Tourism supported around 42.5M jobs in ASEAN in 2024**
- Sector contributes **almost 9.7% of regional GDP** .
- Strong recovery after COVID; **By end-June 2025, Viet Nam and Lao PDR had exceeded 2019 arrivals; Malaysia and Indonesia were close to recovery.**
- Growth driven by **regional travel, digital booking, and demand for experiences**.

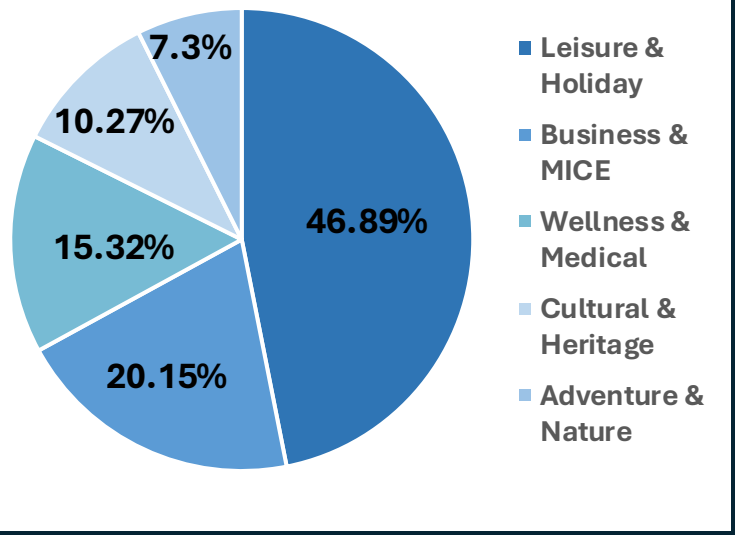
Market Insights

- **Domestic travel accounted for 63.72% of tourism market value in 2025.**
- Accommodation services captured 58.15% of market value, remaining the largest revenue pool.
- **Leisure** represented **46.89%**, while **MICE** is growing at **13.92% CAGR.**
- **International travel** is growing at **11.05% CAGR**, faster than the overall market's base growth.

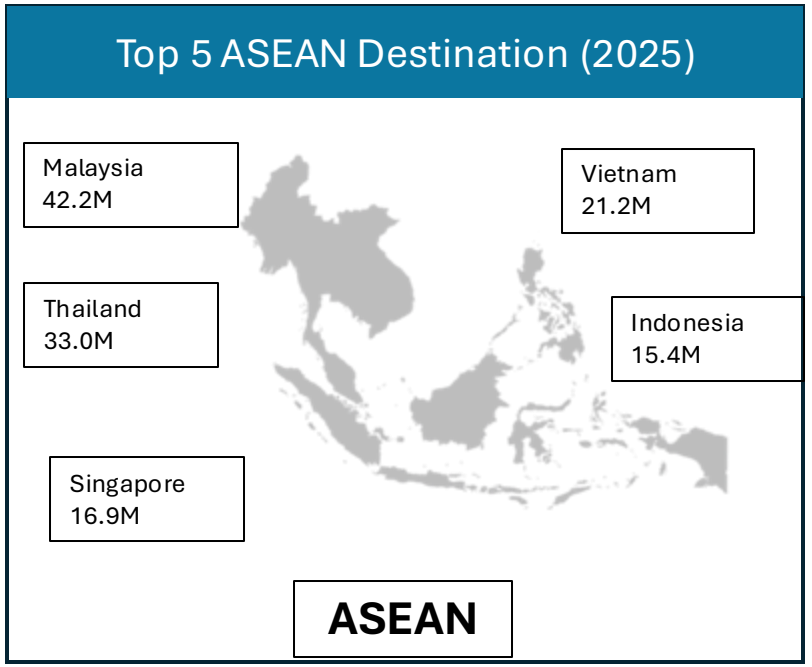
(ASEAN) Southeast Asia Tourism: Market Segmentation & Competitive Landscape

Understanding who is travelling, why they travel, and how countries position themselves in the region

Market Size Estimates (2024)



Top 5 ASEAN Destination (2025)



Key Tourism Destinations

	Thailand	**Leisure, MICE, Wellness**
	Singapore	**Business, MICE, Leisure**
	Indonesia	**Adventure, Nature, Leisure**
	Malaysia	**Leisure, Culture, Family**
	Vietnam	**Leisure, Culture, Adventure**
	Philippines	**Adventure, Leisure, Nature**
	Cambodia	**Culture, Heritage, Eco-Friendly**

Key Insights

- **Domestic travel accounted for 63.72%** of total arrivals in 2024, followed by international travel at **36.28%**.
- **Accommodation services captured 58.15%** of market value, remaining the largest revenue pool.
- **Leisure represented 46.89%** of the market, while **MICE is growing at 13.92% CAGR**.
- **International travel is growing at 11.05% CAGR**.
- **Thailand led destinations with 29% of arrivals**, followed by **Malaysia (21%)** and **Viet Nam (14%)**.

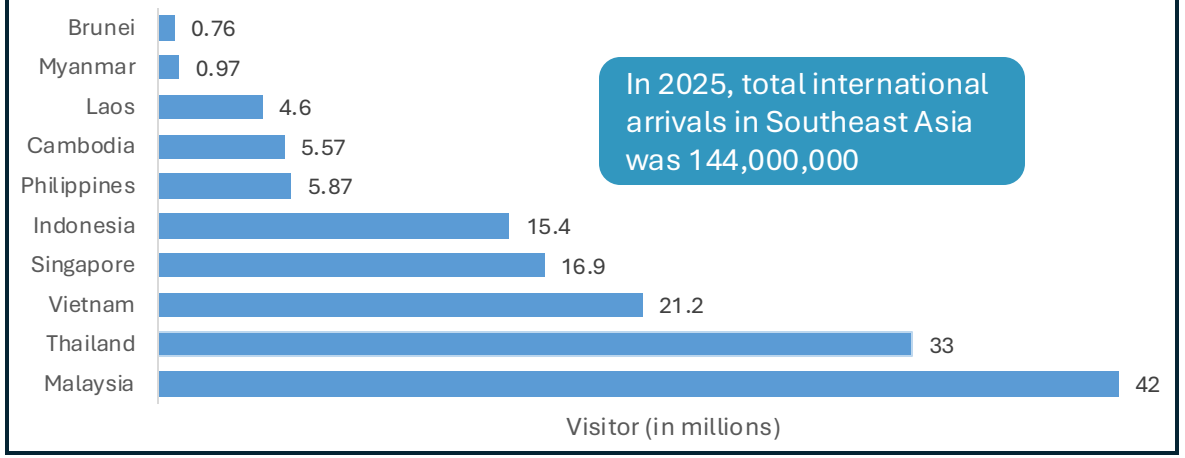
Competitive Landscape Highlights

- ✈ **Air transport:** Capacity at **96% of 2019 levels** by H1 2025.
- 🚢 **Cruise tourism: Singapore 1.8M** passengers, Viet Nam **248K, Philippines 151K** in 2024.
- 👥 **MICE: Thailand 5th**, Singapore **6th**, Malaysia **9th**, Indonesia **10th** in Asia (ICCA 2024). Singapore ranked **3rd globally** with **144 meetings**.
- 🏨 **Hospitality: Singapore 79%** occupancy, Thailand **75%** , **Viet Nam 70%** in H1 2025.

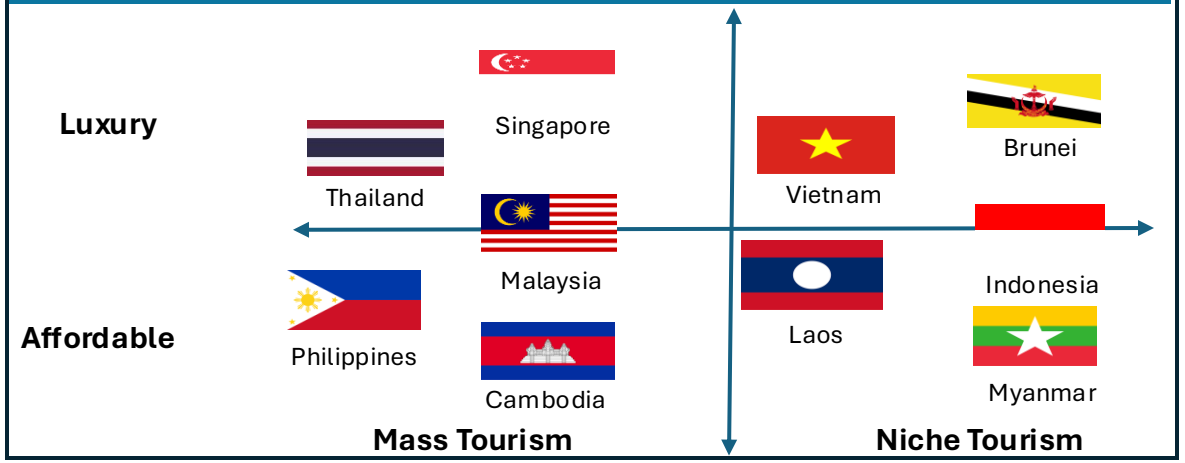
Competitive Positioning: Diverse Destinations, Distinct Value Propositions

Competitive Landscape — country positioning, traveller segments and whitespace

International Tourists in 2025 across ASEAN Countries



Competitive Postioning in Tourism Industry



SWOT ANALYSIS

STRENGTH

- **Strong recovery:** 144M international visitors in 2025.
- **Diverse market:** 127.1M visitors in 2024; 89% of pre-COVID levels.
- **High economic impact:** Major contributor to GDP, jobs & exports.

WEAKNESS

- **Uneven recovery:** Gaps in connectivity, infrastructure & skills.
- **Market concentration:** Dependence on China and key source markets.
- **Sustainability gaps:** Uneven adoption across countries/MSMEs.

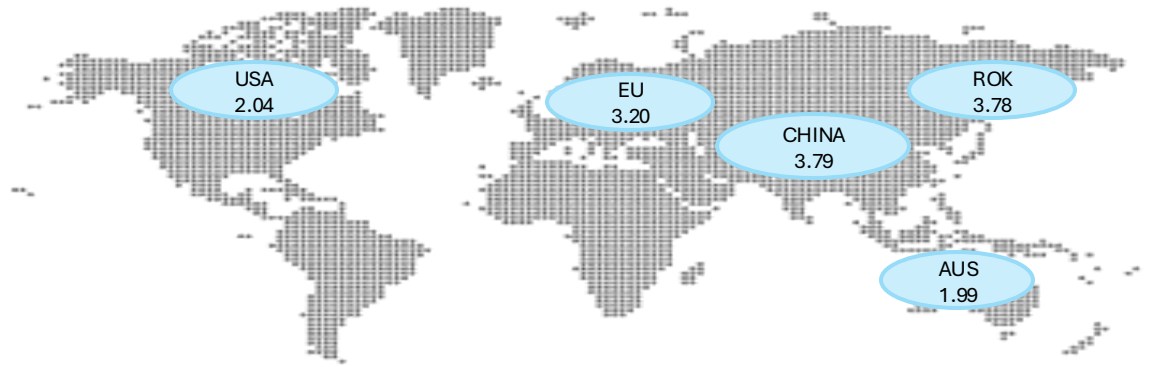
OPPORTUNITITES

- **2030 growth:** Potential to reach **201M visitors**.
- **Regional travel:** Intra-ASEAN travel targeted at **40–45% by 2030**.
- **Digital + sustainable tourism:** AI, e-visas, digital payments & green tourism.

THREATS

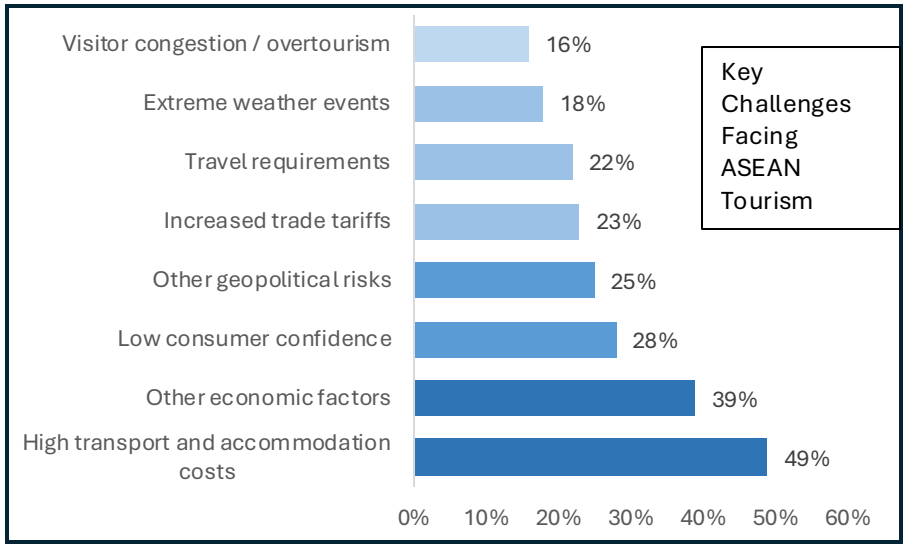
- **Rising costs & uncertainty:** Travel costs and geopolitical risks.
- **Climate risks:** Extreme weather and coastal/heritage damage.
- **Global competition:** Increasing competition for high-value tourists.

Visitors (In million person) in ASEAN from 2025



Key Trends, Challenges & Emerging Growth Opportunities

Trends, Growth Drivers & Challenges — what will shape the next 5 years



Purpose of the Visit

Thailand remains top leisure destination with significant portion of visitors engaging **medical tourism & business events.**

Singapore serves as the major hub for both **Business travelers and Luxury shopping.**

Myanmar has most proportion of visitors with **personal reasons**. Similarly, **Brunei** is famous for its Islamic heritage.

PESTEL Analysis — ASEAN Tourism

Political
- **Pro-tourism** policies support regional growth.
- Visa liberalisation improves regional accessibility.
- **Political instability** affects some destinations.

Economic
- Tourism contributes significantly to **ASEAN GDP.**
- Regional tourism market continues expanding.
- Rising arrivals support jobs and investment.

Social
- Travellers increasingly seek authentic experiences.
- Wellness and eco-tourism demand is rising.
- Digital nomads represent a growing segment.

Technological
- **Online booking** is rapidly expanding.
- AI enables **personalised travel experiences.**
- Smart destinations improve visitor management.

Environmental
- Sustainable tourism demand is increasing.
- **Climate risks** threaten key destinations.
- **Green infrastructure** supports long-term resilience.

Legal
- **Health and safety** standards remain stricter.
- Tourism certification improves **consumer trust**.
- Labour regulations shape tourism employment.

Strategies Opportunities

Opportunity	Data Point	Action
Intra-ASEAN travel	Intra-ASEAN tourism accounted for around 42% of ASEAN arrivals in 2025.	Build cross-border packages and joint promotions
Sustainable tourism	67% of travellers prefer sustainable destinations	Expand green certification and community-based tourism
Remote-work markets	Digital nomads identified as a priority segment	Offer long-stay visas and coworking partnerships
Smart tourism	Mobile subscriptions: 35 → 72 per 100 people (2015–2022)	Launch a regional travel app with e-payments and AI guides
Wellness & culinary tourism	Wellness tourism valued at US$51.5 billion (2023)	Bundle retreats, medical tourism, food trails, and homestays

Strategic Initiatives: Building the Next Phase of ASEAN Tourism Growth

From national initiatives to one connected ASEAN travel experience

WHAT's Already Happening

ASEAN ASEAN Tourism Sectoral Plan 2026-2030	• Resilient, seamless, digital & sustainable tourism across the region. • Targets 201M international arrivals by 2030.
Thailand Amazing Thailand Grand Tourism & Sports Year 2025	• 36–39M visitors; up to 2.23T baht revenue. • Sports, safety, infrastructure, long-stay visas.
Vietnam Visa liberalisation + Smart Tourism Digital Transformation	• Visa liberalisation and smart-tourism initiatives. • Digital platforms and smart destinations.
Indonesia Super-priority destinations + Bali tourist levy	• Five priority destinations beyond Bali. • **Bali tourist levy: IDR 150,000 per foreign tourist** to manage overtourism and fund sustainability.
Malaysia Visit Malaysia 2026	• Digital marketing, infrastructure, ecotourism, culture, gastronomy. • Sustainable, high-value travel positioning.
Singapore Tourism 2040 strategy	• Premium leisure, MICE, wellness, smart experiences. • Lower-carbon attractions and events.

Strategic Recommendation for ASEAN



Build a single "ASEAN Multi-Country Travel Pass"

ONE REGION | ONE PASS | MORE POSSIBILITIES



Why this matters

- **Intra-ASEAN travel already accounts for 38% of arrivals** (47.7 million visitors in 2024).
- **Turns existing travel corridors** into seamless, multi-destination trips.
- **Aligns with all five national strategies:** easier access, digital tools, sustainability, higher spend, better visitor experience.

Next steps (2026–2027)

- **Pilot the pass on 2–3 corridors** (e.g., Singapore–Malaysia–Thailand; Indonesia–Malaysia–Brunei; Viet Nam–Cambodia–Thailand).
- **Integrate e-visa, e-payment, and a shared travel app** with real-time information.
- **Add sustainability criteria** (green hotels, low-carbon transport, community-based experiences) to qualify for "ASEAN Sustainable Circuit" branding.

APPENDIX

SOURCES:

- ASEAN Secretariat & ERIA — *ASEAN Tourism Outlook 2025*
- ASEAN Tourism Sectoral Plan 2026–2030
- ASEANstats Data Portal
- WTTC Economic Impact Reports
- UN Tourism Data
- World Bank Tourism Recovery Data
- Statista — Tourism in Southeast Asia

Note:

- All monetary values are in **US dollars** unless stated otherwise.
- The presentation uses tourism as a broad category covering leisure, business, MICE, cruise, wellness, and related visitor spending.

REFERENCES:

- ASEAN Secretariat & ERIA. *ASEAN Tourism Outlook 2025*. https://asean.org/wp-content/uploads/2026/02/Dummy_ASEAN-Tourism-Outlook-Report_Final-Draft_rev-26-Feb-2026_CRD.pdf
- ASEAN Secretariat. *ASEAN Tourism Sectoral Plan 2026–2030*. https://asean.org/wp-content/uploads/2026/02/ASEAN-Tourism-Sectoral-Plan-2026-2030-Short-Version-1.pdf
- ASEANstats Data Portal. https://data.aseanstats.org/
- World Travel & Tourism Council. *Southeast Asia Economic Impact Research*. https://researchhub.wttc.org/product/southeast-asia-economic-impact-report
- UN Tourism Data Dashboard. https://www.unwto.org/tourism-data

THANK YOU



Name - SUMIT KUMAR SINGH
Email – sumitkumarsingh2205@gmail.com